

7722.T pitch deck

PITCH — 7722.T — PROPOSED VERDICT (PROPOSED — PENDING ADJUDICATION)

PROPOSED — PENDING ADJUDICATION: Do not buy today. Approve a conditional plan: a ~\$10,000 starter position only after three facts from the company's own filings check out (customer advances $\leq$ ~¥1.5bn, order intake not falling, and a pass on the US tax-status test) — with a kill trigger on the November 6 half-year report.

Subject: 7722.T — Kokusai Co., Ltd. (EDINET code E02335), a small family-controlled Japanese maker of industrial testing and balancing equipment for auto and battery manufacturers. TSE Standard market, roughly \$70M market value, zero analyst coverage. Last close ¥758 (August 8; Tokyo was closed August 11 for Mountain Day, so this is current, not stale). Down 34% from the February high of ¥1,147; the 52-week low is ¥711 (May 20). We hold no position and have no orders in.

What we believe

This is a cheap, unleveraged, dividend-paying cyclical that just reported a bad quarter — and the honest answer to “is the bad quarter timing or demand?” is *we don't know yet, and neither does anyone quoting the backlog*.

The bull spine, as it survived our internal review:

- The company paid a ¥35 dividend last fiscal year — a 4.6% yield at today's price — and has raised the payout three years running (¥20 → ¥30 → ¥35 paid, with ¥40 forecast for this year). We underwrite the ¥35 actually paid, not the ¥40 forecast.
- The balance sheet is confirmed strong: ¥8,537M of cash and deposits against ¥20,801M of total assets (we verified this on the balance sheet itself after our own red team mistakenly flagged it — see the table below). No meaningful leverage.
- On last year's operating profit of ¥2,086M, the whole enterprise trades around 2x operating profit. But last year was close to a 19-year high; on a mid-cycle profit of roughly ¥1.3bn, the multiple is closer to 3.3x — still cheap, not absurdly cheap.
- The August 7 first-quarter report was ugly (revenue –25.5%, operating profit –60.5%, only 15.8% of the full-year plan done versus ~31% at this point last year), and the stock gapped down 7% on the next session. Management blames parts shortages stretching out manufacturing and acceptance timelines — a timing story, not a demand story. If that's true, profits are deferred, not destroyed.

Our proposed classification: this is *fairly paid risk pending verification* — a carry-and-cyclicity holding, not an edge trade — and the fairness itself is not yet verified because one balance-sheet line (customer advances) is still unread.

What the market believes

Almost nobody is watching. Zero covering analysts, ~6% foreign ownership, a controlling family, thin volume (230,100 shares traded on the gap-down day). What the tape does say:

- Sellers were derating this stock for six months *before* the bad quarter: ¥1,147 in February down to ¥711 in May, a 38% slide with no headline. The market — such as it is — was already selling the cycle turn.
- The -7% gap after the August 7 report landed on that already-sold base. The bad news is at least partly in the price.
- Implicitly, the market is pricing this as a cyclical entering a downturn at a controlled company whose family has tolerated a price below book value indefinitely — meaning cheapness alone has never forced a re-rating here, and may never.

Why we might have edge

1. **Structural neglect.** A \$70M uncovered, family-held name cannot be “efficiently priced” in any strong sense. Our blue team’s point stands: the six-month derate proves sellers acted, not that the price is right. Our own history with orphan names is that our fair-value estimates run conservative.
2. **The Feb–May derate already happened.** We would be buying after a 38% slide plus a post-earnings gap, not ahead of one. That is timing support, not timing risk.
3. **A verifiable, dated resolution point.** The half-year report (~November 6) will show whether first-half operating profit recovers toward the full-year plan (our threshold: cumulative operating profit $\geq$ ¥750M). The timing-vs-demand question resolves on a calendar date, on the company’s own numbers.
4. **The downside structure is honest.** No debt, ~40% of assets in cash, a paid 4.6% yield while we wait, and a founder-family register with no lockup or offering overhang (listed since 2001; no follow-on in the three-year disclosure history).

Why it might be priced in

Symmetry demands this section be as strong as the last one, and it nearly is:

1. **The “demand intact” evidence is circular.** The bull case leans on backlog up 10.3%. But backlog = orders minus completed acceptances; when acceptances stall (which is exactly what happened — revenue -25.5%), backlog rises *mechanically* even if new order intake fell. The one number that would settle it — new order intake (受注高) — is not quoted anywhere we could reach. Until we read it, “demand intact” is unproven.
2. **Last year was the cycle peak.** Operating profit of ¥2,086M sits near a 19-year high; the two years before that were *losses* (-¥39M and -¥613M). “2x operating profit” is a peak-cycle statistic.

Mid-cycle, this is a ~3.3x business, and in the worst case for the unread advances line, 5–6x — cheap, but ordinary-cheap for an uncovered Japanese cyclical.

3. **The dividend spine is partly a forecast.** The advertised 5.3% yield uses the ¥40 *forecast* — made by a company that just printed profit down 60% against plan. The paid, trailing yield is 4.6%, and forecasts get cut.
4. **A soft demand tell we initially under-weighted:** the company’s own explanation mentions “longer payment terms with clients.” Customers stretching payment terms is demand-adjacent weakness, not just a parts problem.
5. **The controlling family has tolerated sub-book pricing for years.** There is no activist, no coverage, and no forced catalyst for a re-rating. The re-rating case is patience plus dividends, nothing more.

What we checked ourselves

Including where **our own benches erred** (marked △):

Claim	How checked	Found	Confirmed?
“Backlog +10.3% proves demand intact”	Arithmetic identity + attempted retrieval of order-intake figure (four paths, all blocked)	Backlog rises mechanically when acceptances stall; order intake never quoted anywhere reachable	REFUTED as inference — order intake is now a mandatory pre-purchase gate
“¥40 dividend, 5.28% yield”	IRBANK results page, re-fetched by both benches	FY3/26 <i>paid</i> ¥35 (4.62% trailing); ¥40 is this year’s forecast only	Discrepancy confirmed — underwrite ¥35
“2x EV/operating-profit”	19-year operating-profit history (IRBANK)	Last year near a 19-yr high; two prior years were losses; mid-cycle ~3.3x, worst case 5–6x	Confirmed peak-cycle distortion
Cash position ¥8,537M	Balance sheet page directly (irbank.net/Eo2335/bs)	¥8,537M “cash and deposits” confirmed; the ¥5,483M front-page figure is cash-equivalents (excludes >3-month time deposits)	Confirmed △ Red bench error: raised this as a kill by stacking a worst case that dissolved on a direct balance-sheet read; blue overturned it
Customer advances (契約負債) size	TDnet PDF, minkabu, ullet, ValuationMatrix, EDINET API — all blocked (403s / cert / key-gated), independently confirmed by both benches	Unreadable this session	UNVERIFIED — hard gate, no purchase until read
US tax-status risk (PFIC test: cash+passive assets near the 50% line)	Balance-sheet math: $8,537 / 20,801 = 41\%$	41–43%, and the ratio <i>worsens</i> in a downturn as working capital shrinks into cash	Confirmed live risk — annual re-test required in our taxable book

Claim	How checked	Found	Confirmed?
Share count / hidden dilution	Reported EPS implies 13.48M shares vs 14.19M issued	Difference is ~714k treasury shares; no dilution artifact	Confirmed clean
52-week range in our own evidence pack	Cross-checked against Matsui	△ <i>Our pack's low of ¥628 was wrong — actual low ¥711 (May 20). Pack also showed no next-earnings date and no entity name; both superseded by the benches</i>	Pack errors corrected
Aug-10 gap-down	Broker tape	¥815 → ¥758, -6.99%, 230,100 shares	Confirmed
Can we actually buy it at IBKR?	Contract search attempted	Blocked by an account-permission gate this session (not a broker outage)	UNVERIFIED
Detector sweep (pump-and-dump archetype, lockups, merger-accounting, PE recap, US-asset checks, etc.)	Both benches ran the atlas	Nothing fired; no structural red flags	Confirmed △ <i>Red bench process error: it disposed a different detector list than the dispatch atlas matched — blue caught and re-ran the four omitted ones (all clean)</i>

Primary sources: [Q1 tanshin on TDnet](#) (listing confirmed; PDF itself 403-blocked this session) · [IRBANK financials for EO2335](#) · [Matsui tape](#).

PROPOSED ENTRY BANDS

The court's verdict is no entry today. These are therefore *reopen* conditions, taken from the benches' own math — the entry is gated on facts, not on price:

Three gates, all must clear before any purchase (the annual report and half-year filing resolve them): 1. **Customer advances (契約負債) ≤ ~¥1.5bn** in the FY3/26 annual securities report. Above that, the “cash-rich” story is partly customer money and the cheapness claim degrades toward 5–6x mid-cycle profit → no entry, re-court. 2. **New order intake (受注高) flat or up year-over-year** in the Q1 filing. If intake fell, this is a demand downturn, not a timing story → no entry, re-court. 3. **US tax-status (PFIC) test passes** on current balance-sheet composition. A fail is disqualifying for this taxable book regardless of cheapness.

If all three gates clear: buy a **\$10,000 starter (~0.2% of the ~\$5M book)** at or near current levels (reference ¥758). Blue restored this from red's proposed \$5k after red's cash-ambiguity kill was overturned; red's other cuts (underwrite ¥35 dividend, gates above) all stand.

Price tripwire while gates are unresolved: a close below **¥711** (the true 52-week low) means the derate is resuming — triggers re-review, never an automatic buy.

Kill/trim trigger: at the **~November 6, 2026 half-year report** (date is our estimate, not company-confirmed), cumulative first-half operating profit below **¥750M** means the “timing”

explanation failed — exit any starter, kill the thesis. At or above ¥750M with gates cleared, the starter can be reviewed for an add.

No adds before the November print under any condition.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 711.0 (deck-provisional: true 52-week low (Matsui, 2026-05-20); a close below = derate resuming, re-review never auto-buy)
- dated pack 7722.T|2026-11-06: 7722.T: H1 FY3/27 tanshin — kill line: cumulative operating profit ≥ ¥750M or exit/kill (date confirmed=False)

What remains unverified

1. **Customer advances (契約負債)** — the single most important unread number; every retrieval path was blocked this session. The valuation case is provisional until it's read.
2. **New order intake (受注高)** — the only number that cleanly separates “timing” from “demand.” Unread.
3. **Next earnings date** — ~November 6 is inferred from last year's cadence, not confirmed by a company notice.
4. **IBKR executability** — blocked by an account-permission gate this session; we do not yet know we can buy this name at all.
5. **Customer concentration** — the note lives in the blocked annual report; if a single auto/battery customer dominates, US customs data could triangulate it (queued for after the filing fetch).
6. **The ¥40 dividend forecast's credibility** — untestable until the H1 print or a revision notice.

Red bench conviction on the kill case: 4/10. Blue bench conviction on the softened accept: 7/10. Net court position: accept with cuts, flat until gates clear — reflected in the verdict line above, pending adjudication.

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